

Chapter 12: Agriculture

Agriculture

Agriculture is an economic activity or occupation, which involves the production of food grains, animal husbandry, horticultural, floriculture, etc.

Features or Characteristics of Nepalese Agriculture

The major features or characteristics of Nepalese agriculture are as follows:

1. Subsistence farming
 2. Food crop predominance
 3. Traditional farming practice
 4. The small size of landholdings
 5. Unequal distribution of landholdings
 6. Low productivity
 7. Geographical variation
 8. Dual ownership of land
-

Measures for the Modernization and Commercialization of Agriculture in Nepal

The suggested measures for modernization and commercialization of agriculture in Nepal are as follows:

1. Selection of the crops
2. Management of irrigation facility
3. Use of modern equipment and technology
4. Use of fertilizer and high yielding seeds
5. Evaluation of the performance level of the product
6. Controlling the pests
7. Rotation and diversification of the crops
8. Updated knowledge and provision of training to farmers
9. Establishment of collection centre and storage houses

10. Sound road and transport network
11. Organized market and market information system

Sources of Agricultural Finance in Nepal

The sources of agricultural financing in Nepal are as follows:

1. **Formal or Institutional or Organized Sources**
 - a. Government
 - b. Nepal Rastra Bank
 - c. Commercial banks
 - d. Development Banks
 - e. Finance companies and microfinance financial institutions
 - f. Saving and credit cooperatives
 - g. Bilateral and multilateral development partners
2. **Informal or Non-Institutional or Unorganized Sources**
 - a. Friends and relatives
 - b. Village money lenders and landlords
 - c. Merchants and traders

Agricultural Marketing in Nepal

Agricultural marketing refers to the sale and purchase of agricultural inputs and products. In a broad sense, it involves several operations and processes through which agricultural products and raw materials reach to the ultimate consumers.

Nature of Agricultural Marketing

The nature of agricultural marketing in Nepal can be highlighted based on the following points:

1. Unorganized
2. Seasonal
3. The predominance of middlemen
4. Influence of Indian market
5. Insufficient supply of agricultural product

Problems of Agricultural Marketing

Problems of Agricultural Marketing in Nepal are as follows:

1. Lack of transportation and market information facilities
2. Lack of organized markets
3. Lack of storage facility
4. Existence of a large number of intermediaries
5. No grading and standardization
6. Defective weights and measures
7. The problem of adulteration

Measures to Solve the Problems of Agricultural Marketing

The problems or defects of agricultural marketing in Nepal can be solved by the following measures:

1. Establishment of the regulated and organized market
2. Provision of standard weights and measures
3. Storage facilities
4. Improvement in transport facilities
5. Provision of marketing information system
6. Development of cooperative marketing
7. Provision of credit facilities
8. Establishment of regular supervision mechanism